

ANSWERS OF MODEL TEST PAPER 2
FINAL COURSE
PAPER – 4: DIRECT TAX LAWS & INTERNATIONAL TAXATION
SOLUTIONS

Division A – Multiple Choice Questions

MCQ No.	Most Appropriate Answer	MCQ No.	Most Appropriate Answer
1.	(c)	9.	(c)
2.	(c)	10.	(b)
3.	(a)	11.	(c)
4.	(c)	12.	(b)
5.	(c)	13.	(a)
6.	(d)	14.	(a)
7.	(b)	15.	(b)
8.	(d)		

Division B – Descriptive Questions

1. Computation of total income and tax liability of Sheetal Ltd. for A.Y.2025-26 under the regular provisions of the Act

Particulars	₹	₹
Profits and gains of business or profession		
Net profit from Chemical manufacturing unit, Jaipur	3,00,00,000	
Add: Items debited but to be disallowed		
- Royalty on which tax is not deducted	3,00,000	
[30% of ₹ 10 lakhs, being payment of royalty without deduction of tax would be disallowed under section		

40(a)(ia) while computing the business income of A.Y.2025-26. However, since the payee has admitted the income, paid tax and filed his return of income before due date, the same would be allowable in the P.Y. 2025-26 relevant to A.Y.2026-27, being the year in which tax was deducted and paid]		
- Employer's contribution to notified pension scheme [As per section 36(1)(iva), employer's contribution to the account of an employee under a Pension Scheme as referred to in section 80CCD would be allowed as deduction while computing business income only to the extent of 14% of salary and DA of the employee in the previous year. Therefore, ₹ 11,20,000 representing the excess 1% (i.e., ₹ 1,68,00,000 x 1%/15%) debited to profit and loss account has to be added back while computing business income]	<u>11,20,000</u>	
Net profit from Furniture manufacturing unit, Pune	90,00,000	3,14,20,000
Add: Items debited but to be disallowed or to be treated separately		
- Trademark [Trademark is an intangible asset which is eligible for depreciation as per section 32. Since purchase cost of trademark has been debited to profit and loss account, the same has to be added back	25,00,000	

while computing business income]		
- Interest on loan taken from a non-resident [No disallowance under section 40(a)(i) is attracted in respect of interest, since tax has been deducted during the P.Y. 2024-25 and remitted on or before the due date of filing of return of income for A.Y. 2025-26]	NIL	
- Income-tax paid on non-monetary perquisites [As per section 40(a)(v), tax paid by employer on non-monetary perquisites is not allowable as deduction. Since the same has been debited to profit and loss account, the same has to be added back while computing business income]	<u>7,00,000</u>	
	1,22,00,000	
Less: Depreciation on trademark u/s 32 [₹ 25 lakhs x 25%]	<u>6,25,000</u>	
		1,15,75,000
Net profit from Fertilizer producing unit, Narmada	2,20,00,000	
Add: Items debited but to be disallowed or to be treated separately		
- Depreciation on building of ₹ 25 lakhs and on plant and machinery of ₹ 45 lakhs [As per section 35AD, no deduction would be allowed under any other section in any previous year in respect of capital expenditure referred to in section 35AD. Hence, depreciation on building and plant and machinery is not allowable as	<u>70,00,000</u>	

deduction and the same has to be added back.]		
	2,90,00,000	
Less: Deduction u/s 35AD [Since fertilizer unit commenced operation on or after 1.4.2011, it is a specified business eligible for 100% deduction u/s 35AD in respect of capital expenditure. However, deduction is not available on expenditure incurred on acquisition of land. Deduction u/s 35AD is ₹ 5.50 crores, being ₹ 2.50 crore on building and ₹ 3 crore on plant and machinery. Since it is more beneficial for the company to claim deduction u/s 35AD, it is assumed that the company has opted to claim such deduction.]	<u>5,50,00,000</u>	
As per section 73A, loss from the specified business u/s 35AD can be set-off only against profits from another specified business. Since there is no other specified business, such loss has to be carried forward to A.Y. 2026-27.	(2,60,00,000)	
Net profit from Warehousing facility for storage of edible oils at Delhi	70,00,000	
Less: Depreciation u/s 32		
On building of ₹ 3 crores@10%	30,00,000	
On Plant & machinery of ₹ 5 crores@15%	<u>75,00,000</u>	<u>1,05,00,000</u>
As per section 70(1), Business loss from one source is allowed to be set off from other source under the same head.		<u>(35,00,000)</u>
Net profit of Sheetal Ltd.		3,94,95,000
Add: Interest on share application money deposited in bank		<u>-</u>
[The interest on share application money deposited in a bank is not liable to be taxed, as the deposit was not for making additional income but to comply with the statutory		

requirement. The interest accrued on such deposit is merely incidental. The interest is eligible for set-off against share issue expenses. ^{5]}	3,94,95,000
Income from Other Sources	
Dividend from ABC Inc., a foreign company	<u>56,00,000</u>
Gross Total Income	4,50,95,000
Less: Deduction under section 80M [In respect of inter-corporate dividends to the extent of dividend distributed by it one month prior to the date for filing return of income u/s 139(1)]	<u>40,00,000</u>
Total Income	<u>4,10,95,000</u>
Computation of tax liability under the regular provisions of the Act	
Tax liability on ₹ 4,10,95,000@25% [Since the turnover of the company for the previous year 2022-23 does not exceed ₹ 400 crore]	1,02,73,750
<i>Add:</i> Surcharge @ 7%, since the total income of the company > ₹ 1 crore but ≤ ₹ 10 crores	<u>7,19,163</u>
	1,09,92,913
<i>Add:</i> Health and education cess @ 4%	<u>4,39,717</u>
Tax liability	<u>1,14,32,630</u>

**Computation of tax liability of Sheetal Ltd. for the A.Y. 2025-26
under section 115JB**

Particulars	₹
Minimum Alternate Tax @15% on book profit of ₹ 5,20,00,000	78,00,000
<i>Add:</i> Surcharge@7%, since the book profit of the company > ₹ 1 crore but ≤ ₹ 10 crores	<u>5,46,000</u>
	83,46,000

⁵ CIT v. Sree Rama Multi Tech Ltd. [2018] 403 ITR 426 (SC)

Add: Health and Education cess@4%	<u>3,33,840</u>
Tax liability under section 115JB	86,79,840

Since the regular income-tax liability is more than the minimum alternate tax liability, Sheetal Ltd. is liable to pay tax under normal provisions of the Act.

Tax liability under the regular provisions of the Income-tax Act, 1961	1,14,32,630
Less: MAT Credit of A.Y. 2016-17	<u>20,00,000</u>
	<u>94,32,630</u>

Note - Sheetal Ltd. is eligible for concessional rate under section 115BAA @25.168% i.e., tax@22% plus surcharge@10% plus HEC@4% subject to tax at the rates mentioned in the said sections in Chapter XII. In case Sheetal Ltd. opted for concessional rate of tax u/s 115BAA, it would not be eligible for deduction u/s 35AD in respect of fertilizer producing unit, however, it can claim depreciation u/s 32 on building and plant and machinery. In that case, its total income u/s 115BAA would be -

Particulars	₹
Profit from Chemical manufacturing unit, Jaipur	3,14,20,000
Profit from Furniture manufacturing unit, Pune	1,15,75,000
Profit from Fertilizer producing unit, Narmada	2,20,00,000
Profit from Warehousing facility for storage of edible oils at Delhi	<u>(35,00,000)</u>
	6,14,95,000
Dividend from ABC Inc., a foreign company	<u>56,00,000</u>
Gross Total Income	6,70,95,000
Less: Deduction under section 80M [In respect of inter-corporate dividends to the extent of dividend distributed by it one month prior to the date for filing return of income u/s 139(1)]	<u>40,00,000</u>
Total Income	<u>6,30,95,000</u>

Tax liability under section 115BAA (22% + surcharge 10% + HEC 4%) = 25.168% on ₹ 6,30,95,000	
Tax liability	1,58,79,750
Suggestion to Sheetal Ltd. Sheetal Ltd. should not opt for section 115BAA for assessment year 2025-26, since the tax liability under section 115BAA is higher under the regular provisions of the Act and section 115JB.	

2. (a) Tax treatment in the hands of ABC LLP on conversion of ABC Pvt. Ltd. into ABC LLP

(i) Business loss of ₹ 54 lakhs (relating to P.Y. 2020-21)

As per section 72A(6A), the business loss of ₹ 54 lakhs of ABC Pvt. Ltd. would be deemed to be the loss of ABC LLP for P.Y. 2024-25 and it would be able to set off and carry forward such loss.

The carry forward is for 8 assessment years subsequent to the assessment year 2025-26.

However, if subsequent to the conversion, ABC LLP fails to fulfill any of the conditions mentioned in section 47(xiiib), the set-off of business loss so made in any previous year would be deemed to be the income chargeable to tax in the year in which such conditions are not complied with.

(ii) Depreciation and written down value of assets

In case of conversion of ABC Pvt. Ltd. into ABC LLP, depreciation on assets shall be apportioned between the company and LLP in the ratio of the number of days for which the assets were used by them.

Total Depreciation

Plant and machinery (15%) = ₹ 14 lakhs x 15% = ₹ 2,10,000

Building (10%) = ₹ 40 lakhs x 10% = ₹ 4,00,000

In the hands of ABC LLP (for 182 days)

Plant and machinery (15%) = ₹ 2,10,000 x 182/365 = ₹ 1,04,712

Building (10%) = ₹ 4,00,000 x 182/365 = ₹ 1,99,452

WDV in the hands of ABC LLP

As per section 43(6), the actual cost of the block of assets in the hands of ABC LLP shall be the WDV of the block of assets as in the case of ABC Pvt. Ltd. on the date of conversion.

WDV of P & M (15%) = ₹ 14 lakhs – ₹ 1,04,712 ₹ = ₹ 12,95,288

WDV of Building (10%) = ₹ 40 lakhs – ₹ 1,99,452 ₹ = ₹ 38,00,548

Actual cost of Plant and machinery on which deduction has been allowed or is allowable to the assessee under section 35AD would be 'NIL' in the hands of ABC Pvt. Ltd. and ABC LLP.

(iii) Cost of land acquired in 2012 at ₹ 80 lakhs (Market value ₹ 120 lakhs)

The cost of acquisition of land in the hands of ABC LLP would be the cost for which ABC Pvt. Ltd. acquired it, i.e., ₹ 80 lakhs.

(iv) Expenditure on voluntary retirement benefit of ₹ 28 lakhs

As per section 35DDA, in case of conversion of ABC Pvt. Ltd. into ABC LLP, deduction would be available to ABC LLP for the remaining periods from the previous year in which conversion took place. Since deduction of ₹ 5.6 lakhs each has been claimed by ABC Pvt Ltd. in P.Y. 2022-23 and P.Y. 2023-24, ABC LLP would be eligible for deduction of ₹ 5.6 lakhs each for the remaining three previous years, namely P.Y.2024-25, P.Y.2025-26 and P.Y.2026-27 under section 35DDA.

(v) Unadjusted MAT credit u/s 115JJAA of ₹ 8.6 lakhs

As per section 115JAA(7), in case of conversion of ABC Pvt. Ltd. into ABC LLP, the credit for MAT paid by ABC Pvt. Ltd. cannot be availed by the successor LLP i.e., ABC LLP.

(vi) Unabsorbed depreciation of ₹ 48 lakhs

As per section 72A(6A), ABC LLP would be able to carry forward and set-off the unabsorbed depreciation of ₹ 48 lakhs of ABC Pvt. Ltd.

However, if subsequent to the conversion, ABC LLP fails to fulfill any of the conditions mentioned in section 47(xiiib), the set-off of depreciation so made in any previous year would be deemed to be the income chargeable to tax in the year in which such conditions are not complied with.

- (b)** Since Mr. Mani Prasad is resident in India for the P.Y.2024-25, his global income would be subject to tax in India. Therefore, income earned by him in Country M and Country N would be taxable in India. He would, however, be entitled to deduction under section 91, since India does not have a DTAA with Country M and Country N, and all conditions under section 91 are satisfied.

**Computation of total income of Mr. Mani Prasad for A.Y.
2025-26**

Particulars	₹	₹
Income under the head “Salaries”		
Pension from State Government	4,80,000	
Less: Standard deduction u/s 16(ia) [Allowable as per section 115BAC]	<u>75,000</u>	
		4,05,000
Income from House Property		
Rental income from property in Country N ⁶	3,20,000	
Less: Municipal taxes	<u>21,000</u>	
	2,99,000	
Less: Deduction u/s 24(a)@30%	<u>89,700</u>	
		2,09,300
Profits and Gains of Business or Profession		
Speculative income in India	1,56,000	

⁶ In the absence of any information relating to fair rent, municipal value and standard rent, rental income is assumed to be the gross annual value.

Less: Set-off of business loss from proprietary business in Country N under section 70	<u>1,16,000</u>	
		40,000
Capital Gains		
Short-term capital gains on sale of plot in India		3,20,000
Income from Other Sources		
Agricultural income from Country M [not exempt u/s 10(1), since it is earned from land situated outside India]	86,000	
Dividend from a company in Country M	<u>68,000</u>	
		<u>1,54,000</u>
Gross Total Income		11,28,300
Less: Deduction under Chapter VI-A [No deduction allowable as per section 115BAC]	-	<u>-</u>
Total Income		11,28,300

**Computation of net tax liability of Mr. Mani Prasad for
A.Y.2025-26**

Particulars	₹
Tax on ₹ 11,28,300	
Upto ₹ 3,00,000	Nil
₹ 3,00,001 to ₹ 7,00,000 @5%	20,000
₹ 7,00,001 to ₹ 10,00,000 @10%	30,000
₹ 10,00,001 to ₹ 11,28,300 @15%	<u>19,245</u>
	69,245
Add: Health and education cess@4%	<u>2,770</u>
	72,015
Less: Rebate under section 91 (See Working Note below)	<u>10,154</u>
Net tax liability	<u>61,861</u>
Net tax liability (Rounded off)	<u>61,860</u>

Calculation of Rebate under section 91:	₹	
Average rate of tax in India [i.e., ₹ 72,015/ ₹ 11,28,300 x 100] = 6.3826%		
Doubly taxed income pertaining to Country M		
Agricultural income	86,000	
Dividend from a company in Country M [Not includible, since exempt in Country M]	<u>-</u>	
	86,000	
Rebate under section 91 on ₹ 86,000 @6.3826% [being the lower of average Indian tax rate (6.3826%) and Country M tax rate (10%)]		5,489
Doubly taxed income pertaining to Country N		
Income from house property less business loss set-off against income chargeable to tax in India (₹ 2,09,300 – ₹ 1,16,000)	93,300	
Rebate under section 91 on ₹ 93,300 @5% [being the lower of average Indian tax rate (6.3826%) and Country N tax rate (5%)]		<u>4,665</u>
Total rebate under section 91 (Country M + Country N)		<u>10,154</u>

3. (a) (i) As per section 11(1A), where a capital asset held under trust (building, in this case) is transferred and only a part of the net consideration is utilized for acquiring another capital asset, the amount of capital gains deemed to have been utilised for charitable or religious purposes shall be the excess of the proceeds utilised over the cost of the asset transferred.

In the present case, short-term capital gain of ₹ 2,00,000 [₹ 4,20,000 less ₹ 2,20,000] would arise on transfer of building held under trust, as building is held for a period of not more

than 24 months. Further, the trust has invested part of the net consideration i.e., ₹ 3,00,000 out of ₹ 4,20,000, in fixed deposits for the tenure of 2 years.

Where the net consideration on sale of a capital asset is invested in fixed deposits, it is regarded as utilised for acquiring another capital asset⁷. Accordingly, capital gains utilised for investing in fixed deposits is deemed to be applied for charitable purpose.

Since only a part of the net consideration of ₹ 3,00,000 out of ₹ 4,20,000 is utilized for investing in fixed deposits, the amount of short-term capital gains to the extent of ₹ 80,000 (being the excess of proceeds utilized i.e., ₹ 3,00,000 over cost of transferred asset i.e., ₹ 2,20,000) would be deemed to be utilised for charitable purpose.

The balance of ₹ 1,20,000 is taxable in the hands of the trust. Applying such income to the objects of the trust would make the transaction, tax neutral.

(ii) As per section 115BBC, anonymous donations received *inter alia* by trust or institution referred u/s 11 would be taxable @ 30% in excess of higher of -

- 5% of the total donations received by the assessee; or
- ₹ 1 lakh

However, the provisions of section 115BBC would not apply to anonymous donation received by trusts/institutions created or established wholly for religious and charitable purposes (i.e. partly charitable and partly religious institutions/trusts) other than anonymous donation made with a specific direction that such donation is for any university or other educational institution or any hospital or other medical institution run by such trust or institution.

In the present case, HelpAge trust is established for religious and charitable purposes and runs a temple and a school. During the P.Y. 2024-25, it received anonymous donation of

⁷ CIT v. Ambalal Sarabhai Trust No. 3 [1988] 173 ITR 683 (Guj)/ CIT v. Hindustan Welfare Trust [1994] 206 ITR 138 (Cal)/ CBDT instruction no. 883, dated 24.09.1975.

₹ 3 crores for Temple and ₹ 8 crores for School. Since it received anonymous donation separately for temple and school, the provisions of section 115BBC would not be attracted in respect of donations of ₹ 3 crores received for Temple.

However, the provisions of section 115BBC would be attracted in respect of anonymous donation received for school.

(iii) Any voluntary contribution received by an electoral trust would be exempt, if such electoral trust:

- (i) distributes to a registered political party during the previous year, 95% of the aggregate donations received by it during the year along with the surplus if any, brought forward from any earlier previous year and
- (ii) functions in accordance with the rules made by the Central Government.

The electoral trust may, for the purposes of managing its affairs, spend up to 5% of the total contributions received in a year subject to an aggregate limit of ₹ 5 lakh in the first year of incorporation and ₹ 3 lakh in subsequent years.

The total contributions received in any financial year alongwith the surplus from any earlier financial year, if any, as reduced by the amount spent on managing its affairs, shall be the distributable contributions for the financial year.

In the present case, M/s XYZ, an electoral trust incorporated in the year 2022, received voluntary contributions of ₹ 420 lakhs and has brought forward surplus from earlier previous years is ₹ 18 lakhs. It spent ₹ 8 lakhs for the purpose of managing its affairs. However, it is eligible to spend ₹ 3 lakhs being lower of -

- ₹ 21 lakhs, being 5% of total contributions i.e., ₹ 420 lakhs or
- ₹ 3 lakhs, since P.Y. 2024-25, being the subsequent year

for the purpose of managing its affairs.

Accordingly, M/s XYZ, an electoral trust can distribute its distributable contribution of ₹ 435 lakhs [i.e., ₹ 420 lakhs *plus* ₹ 18 lakhs *less* ₹ 3 lakhs] as the same exceeds ₹ 416.10 lakhs (i.e., 95% of ₹ 438 lakhs).

- (b) (i) Provision of scientific research services falls within the scope of international transaction under section 92B. Trax & Co. and Olive Inc. are deemed to be associated enterprises as per section 92A(2)(d), since Olive Inc. guarantees not less than 10% of the total borrowings of Trax & Co. Since there is an international transaction between associated enterprises, transfer pricing provisions are attracted in this case.
- (ii) Where the Assessing Officer has made a primary adjustment of ₹ 310 lakhs to the transfer price and the same has been accepted by Trax & Co., secondary adjustment has to be made in the books of account as per section 92CE, since the primary adjustment made by the Assessing Officer and accepted by Trax & Co exceeds ₹ 100 lakhs and the primary adjustment is in relation to P.Y.2023-24.

The excess money determined based on the primary adjustment has to be repatriated to India within 90 days from the date of order, failing which the same would be deemed as an advance and interest would be computed at the one-year marginal cost of fund lending rate of State Bank of India as on 1.4.2025 + 3.25%, since the international transaction has been denominated in Indian Rupees.

In this case, since the excess money has not been repatriated within 90 days, the same would be deemed to be an advance made by Trax & Co. to Olive Inc. and interest would be computed @12.25% (9% + 3.25%) from 1.4.2025, being the date of the order of the Assessing Officer. The interest would amount to ₹ 37.975 lakhs (i.e., 12.25% of ₹ 310 lakhs) for the P.Y.2025-26.

Alternatively, Trax & Co. can opt to pay additional income-tax@20.9664% (tax@18% plus surcharge@12% plus cess@4%) on ₹ 310 lakhs, which would amount to ₹ 64,99,584. In such a case, secondary adjustment is not required to be made.

4. (a) As per section 269SU, Marigold Ltd. is required to provide facility for accepting payment through the prescribed electronic modes, in addition to the facility for other electronic modes of payment of debit card or credit card provided by Marigold Ltd., since its total turnover in business during the immediately preceding previous year. i.e., P.Y. 2023-24 is ₹ 70 crores, which exceeds the prescribed threshold of ₹ 50 crores.

Prescribed electronic modes are

- (1) Debit Card powered by RuPay;
- (2) Unified Payments Interface (UPI) (BHIM-UPI); and
- (3) Unified Payments Interface Quick Response Code (UPI QR Code) (BHIM-UPI QR Code).

The failure to provide facility for electronic modes of payment prescribed under section 269SU by Marigold Ltd. would attract a penalty under section 271DB of a sum of ₹ 5,000, for every day during which such failure continues.

However, penalty shall not be imposed, if Marigold Ltd. proves that there were good and sufficient reasons for such failure. Further, any such penalty shall be imposed by the Joint Commissioner.

(b)	₹
Gross salary, allowances and monetary perquisites	7,30,000
Non-Monetary perquisites	<u>1,20,000</u>
	8,50,000
Less: Standard deduction under section 16(ia)	<u>75,000</u>
	<u>7,75,000</u>
Tax Liability	28,600
Average rate of tax ($\text{₹ } 28,600 / \text{₹ } 7,75,000 \times 100$)	3.69%

The company can deduct ₹ 28,600 at source from the salary of the General Manager at the time of payment.

Alternatively, the company can pay tax on non-monetary perquisites as under –

Tax on non-monetary perquisites = 3.69% of ₹ 1,20,000 = ₹ 4,428

Balance to be deducted from salary = ₹ 24,172

If the company pays a tax of ₹ 4,428 on non-monetary perquisites, the same is not a deductible expenditure as per section 40(a)(v). The amount of tax paid towards non-monetary perquisite by the employer, however, is not chargeable to tax in the hands of the employee as per section 10(10CC).

- (c) Capital gain arising in the hands of Angelo and James from transfer of a capital asset situated in India would be deemed to accrue or arise in India. Shares of Flix Inc., Country M, shall be deemed to be situated in India if those shares derive directly or indirectly, its value substantially from assets located in India.

Shares of Flix Inc. would be deemed to derive its value substantially from the assets located in India, if on the specified date, the fair market value of Indian assets (without reduction of liabilities) i.e., fair market value of assets of XYZ Co. –

- exceeds ₹ 10 crores; and
- represents at least 50% of the value of all the assets owned by the Flix Inc.

Specified date would be the date of transfer i.e., 1.6.2024 since book value of the assets of Flix Inc. on the date of transfer i.e., ₹ 1,300 crores exceed the book value of the assets as on the last balance sheet date preceding the date of transfer i.e., ₹ 1,000 crores by at least 15%.

Shares of Flix Inc. derives its value substantially from assets located in India since the fair market value of assets located in India (without reduction of liabilities) on 1.6.2024, being the specified date i.e., ₹ 600 crores exceed ₹ 10 crores and represents more than 50% i.e., 54.545% of the fair market value of assets of Flix Inc. i.e., ₹ 1,100 crores.

Hence, the shares of Flix Inc. would be deemed to be a capital asset situated in India and the capital gains from the transfer of shares of Flix Inc. by Angelo and James would be deemed to accrue or arise in India. Accordingly, the capital gains arising from transfer of shares of Flix Inc. would be taxable in the hands of Angelo and James in India as per Income-tax Act, 1961.

5. (a) (i) **Issue Involved:** The issue under consideration is whether the stay order can be automatically vacated upon expiry of extended period of stay of 365 days, where the delay in disposing of the appeal is not attributable to the assessee.

Relevant provision of law: The third proviso to section 254(2A) provides that where the appeal filed before the Appellate Tribunal is not disposed of within the period of stay or extended period of stay granted by the Tribunal, the order of stay shall stand vacated after the expiry of 365 days, even if the delay in disposing of the appeal is not attributable to the assessee.

Analysis & Conclusion: This provision would result in the automatic vacation of a stay upon the expiry of 365 days, even if the Appellate Tribunal could not take up the appeal in time for no fault of the assessee. Thus, the vacation of stay in favour of the Department would ensue even if the Department is itself responsible for the delay in hearing the appeal. This will cause undue hardship to the assessee, even where he is not at fault. In this sense, the provision is arbitrary and disproportionate so far as the assessee is concerned.

The contention of the revenue is **not** justified. Any order of stay shall stand vacated after the expiry of the period or periods mentioned in the section, only if the delay in disposing of the appeal is attributable to the assessee.

Note – The facts given in the question are similar to the facts in DCIT v. Pepsi Foods Ltd (2021) 433 ITR 295, wherein the above issue came up before the Supreme Court. The above answer is based on the rationale of the Supreme Court ruling in that case.

- (ii) **Issue Involved:** The issue under consideration is whether the participation by the assessee in assessment proceedings would make the omission to issue notice under section 143(2) a curable defect on account of the deeming provision under section 292BB.

Relevant provision of law: As per section 292BB, any notice which is required to be served upon an assessee shall be

deemed to have been duly served and the assessee would be precluded from taking any objection that the notice was -

- (a) not served upon him; or
- (b) not served upon him in time; or
- (c) served upon him in an improper manner,

if he had appeared in any proceedings or co-operated in any enquiry relating to assessment or re-assessment.

Analysis & Conclusion: Issue of notice under section 143(2) is mandatory for making a regular assessment under section 143(3). Section 292BB is a deeming provision that seeks to cure defects in any notice issued under any provision of the Income-tax Act, 1961, if the assessee has participated in the proceedings.

For section 292BB to apply, the notice must have emanated from the Department. It is only the infirmities in the manner of service of notice that the section seeks to cure. The section is not intended to cure the complete absence of notice itself.

Accordingly, non-issuance of notice under section 143(2) is not a curable defect under section 292BB inspite of participation by the assessee in assessment proceedings.

In the present case, since the assessment of Mr. Sharma was completed u/s 143(3) without issuing notice u/s 143(2), the assessment is bad in law and not a curable defect u/s 292BB. Therefore, the contention of Mr. Sharma is valid and the contention of the Assessing Officer is invalid in spite of the fact that Mr. Sharma participated in the assessment proceedings.

Note – The facts given in the question are similar to the facts in CIT v. Laxman Das Khandelwal (2019) 417 ITR 325, wherein the issue came up before the Supreme Court. The above answer is based on the rationale of the Supreme Court in the said case.

- (iii) **Issue Involved:** The issue under consideration is whether prosecution proceedings can be initiated where tax deducted has been deposited by the assessee *suo moto*, after the time

prescribed under the Act but before receiving notice from the income-tax department, along with interest under section 201(1A) and the assessee has shown reasonable cause for such delay.

Relevant provisions of law: Prosecution proceedings are attracted under section 276B, if a person fails to pay to the credit of the Central Government, the tax deducted at source by him as required under the provisions of the Act. The punishment is rigorous imprisonment for not less than 3 months but which may extend to 7 years and with fine.

Section 278AA, however, provides that no person would be punishable for such failure if he proves that there was reasonable cause for the same.

Analysis & Conclusion: The CBDT has, *vide Circular No. 24/2019 dated 9.9.2019*, in exercise of the powers under section 119, listed out the offences covered under Chapter XXII of the Income-tax Act, 1961 in respect of which prosecution proceedings shall be launched by Approving Authority being the Sanctioning Authority where the quantum of offences exceed the prescribed monetary threshold. Accordingly, in case of failure to pay TDS under section 276B or failure to pay TCS u/s 276BB, no prosecution will be processed if the TDS/TCS amount does not exceed ₹ 25 lakhs and delay in deposit is less than 60 days.

In this case, the company has reasonable and sufficient cause since it was facing financial hardship on account of large sum of money stuck up with the debtors and also with the income-tax department on account of refunds. In spite of the financial crisis, the company has *suo moto* deposited the TDS along with interest under section 201(1A) of the Act, before receiving any notice from the income-tax department in this regard.

Since it has deposited the TDS along with interest *suo moto* before receiving any notice from the department and it has also shown reasonable cause for such delay in deposit, the company cannot be punishable for the delay in deposit of TDS. The initiation of prosecution proceedings under section

276B against the company and the directors is, therefore, **not** correct.

Note - *The facts given in the question are similar to the facts in ACIT v. AT-Dev Prabha (JV) and others (2023) 454 ITR 59, wherein the above issue came up before the Supreme Court. The above answer is based on the rationale of the Supreme Court in the said case read along with the CBDT Circular.*

(b) In addition to allocating the taxing rights and elimination of double taxation, there are various other important considerations while entering into a tax treaty, as mentioned below:

- Ensuring non-discrimination between residents and non-residents
- Resolution of disputes arising on account of different interpretation of tax treaty by the treaty partner.
- Providing assistance in the collection of the fair and legitimate share of tax.

Further, in addition to above, there are some other principles which must be considered by countries in their tax system –

- (i) **Equity and fairness:** Same income earned by different taxpayers must be taxed at the same rate regardless of the source of income.
- (ii) **Neutrality and efficiency:** Neutrality factor provides that economic processes should not be affected by external factors such as taxation. Neutrality is two-fold.
 - (a) Capital export neutrality and
 - (b) Capital import neutrality (CIN).

Capital export neutrality (CEN) provides that business decision must not be affected by tax factors between the country of residence and the target country; whereas CIN provides that the level of tax imposed on non-residents as well as the residents must be similar.

Promotion of mutual economic relation, trade and investment: In some cases, it is observed that avoidance of double taxation is not the only objective. The other objective may be to give impetus to a country's overall economic growth and development.

6. (a) (i) In the present case, Shiva Ltd., an Indian company has 2 manufacturing units, unit X in the SEZ and unit Y in non-SEZ. Though unit X only does the packaging of goods manufactured by unit Y, the company, in its books of account, shows the goods manufactured by unit Y as manufacture of goods by unit X to enjoy exemption under section 10AA. This is a case of misrepresentation of facts by showing manufacture of non-SEZ unit as manufacture of SEZ unit. Hence, this is an arrangement of tax evasion and not tax avoidance.

Tax evasion, being unlawful, can be dealt with directly by establishing correct facts. GAAR provisions need not be invoked in such a case.

- (ii) In this case, goods manufactured by unit N, a non-SEZ unit, being a non-eligible business, are transferred to unit M, a SEZ unit, being an eligible business, at a price significantly lower than the market value of the goods to claim higher deduction under section 10AA in respect of unit M.

As there is no misrepresentation of facts or false submissions, it is not a case of tax evasion. The company has tried to take advantage of tax provisions by diverting profits from non-SEZ unit to SEZ unit. However, this is not the intention of the legislation.

Such tax avoidance is specifically dealt with through the provisions contained in section 10AA(9), as per which provisions of section 80-IA(8) would get attracted in such a case. Further, if the aggregate of such transactions entered into in the relevant previous year exceed the threshold of ₹ 20 crore, domestic transfer pricing regulations under section 92BA would be attracted. Hence, the Revenue need not invoke GAAR in such a case, though GAAR and SAAR can co-exist as per clarification given in the CBDT Circular.

- (b) Deduction under section 80JJAA is allowable to an assessee to whom section 44AB applies and whose gross total income includes any profits and gains derived from business, in respect of employment of new employees. The amount of deduction is 30% of additional employee cost incurred in the course of such business in

the previous year, for three assessment years including the assessment year relevant to the previous year in which such employment is provided.

“Additional employee cost” means the total emoluments paid or payable to additional employees employed during the previous year. However, in the case of an existing business, the additional employee cost shall be nil, if emoluments are paid otherwise than by an account payee cheque or account payee bank draft or use of ECS through bank account or other prescribed electronic mode.

“Emoluments” means any sum paid or payable to an employee in lieu of his employment by whatever name called but does not include, *inter alia*, contribution by employer to provident fund.

“Additional employee” means an employee who has been employed during the previous year and whose employment has the effect of increasing the total number of employees employed by the employer as on the last day of the preceding year, but does not include, *inter alia*, an employee whose total emoluments are more than ₹ 25,000 p.m.

In this case, the contention of the chartered accountant that the emoluments do not include employer contribution to PF is correct. However, emoluments include ₹ 3,500 paid in cash by way of transport allowance to the employee. Hence, the total emoluments per employee is ₹ 28,000 p.m. Due to this reason, the 30 employees employed on 1.4.2024 will not qualify as “additional employees” for the purpose of deduction under section 80JJAA, since their total emoluments are more than ₹ 25,000 p.m. Hence, Right & Co. is not eligible for any deduction under section 80JJAA due to failure to fulfil the condition for being treated as an “additional employee”. In this case, the chartered accountant has failed to ensure compliance with the condition stipulated for claim of deduction under section 80JJAA and has wrongly issued the report in Form 10DA certifying the deduction claimed by the assessee under section 80JJAA.

Also, clause 33 of Form 3CD requires section-wise details of deductions, if any, admissible under Chapter VI-A. Here again, the tax auditor has to ensure that the assessee fulfils all the conditions specified in the section under which the deduction is claimed. However, in this case, the tax auditor has failed to do so.

On account of such failure, clause (7) of Part I of the Second Schedule to the Chartered Accountants Act, 1949 may be invoked.

- (c) Advance ruling pronounced by Board for Advance Rulings is not binding on LT Co. Ltd. Section 245W provides that the applicant who is aggrieved by any ruling pronounced or order passed by the Board for Advance Rulings may appeal to the High Court against such ruling. He has to do so within sixty days from the date of the communication of that ruling or order, in the prescribed form and manner.

Accordingly, if LT Co. Ltd. is aggrieved by the advance ruling pronounced by BAR, it can file an appeal before the High Court on or before 29th June 2025. The High Court can grant extension of a further period of 30 days for filing the appeal, if it is satisfied, on an application made by LT Co. Ltd. in this behalf, that it was prevented by sufficient cause from presenting the appeal within the 60 days period as specified above.